



L'ORÉAL

FINANCE & LEGAL

TREASURY & CORPORATE FINANCE

TARGET TREASURY PROCESSES

Cash Management
2026

1

GLOSSARY

2

LEGEND

3

SHORT TERM CASH MANAGEMENT

- Daily Cash Management
- 4 Weeks Cash Forecast

4

INTERNAL FINANCINGS & DEPOSITS

5

EXTERNAL FINANCINGS & DEPOSITS

GLOSSARY

CAMT053	New electronic bank account statement in replacement of MT940
Diapason	Treasury Management system for L'Oréal entities
MT940	Electronical bank account statement (Swift format)
MT942	Electronical intraday bank account statement (Swift format)
MyServices	Treasury Support
MyTreasury	Treasury Platform
SAP/S4	Group Accounting ERP
T&CF	Treasury & Corporate Finance department

GLOSSARY NEW TARGET ORGANIZATION, GOVERNANCE MODEL & TEAM ROLES

BEST & BIG COUNTRIES*

Zone Treasurer

The **Zone Treasurer** is accountable for the implementation of the treasury & financing norms and the compliance with the TTP. Its is also the responsibility of the Zone Treasurer to review and pre-approve all derogation & agreement requests to the T&CF charter.

Treasury Director

The **Treasury Director** is responsible for the application & the respect of the target processes and the T&CF charter policies.

Team Leaders FP&A and Operations

The **FP&A & Treasury Operations Leaders** manage the operational teams, assist the Treasury Director in day-to-day decision making, and are accountable for the delivery of activities and the coordination of treasury issues.

Transversal Support

The **Transversal Support** is responsible for supporting projects and maintaining the treasury systems configurations at local level (Treasury Support level 1).

Treasury FP&A

The **Treasury FP&A** focuses on financial planning and analysis : FX risk management (FIP/CLIP and Gains & Losses analysis), Cash Flow forecast Anaplan, Financial I&E.

Treasury Operations

The **Treasury Operations** manages all daily treasury activities : cash management, bank relationships, payment control, local FX trading , fraud compliance correspondent and guarantees management.

BPO

The **BPO** supports and activates local processes for convergence towards standards and new implementations, in addition to operational execution.



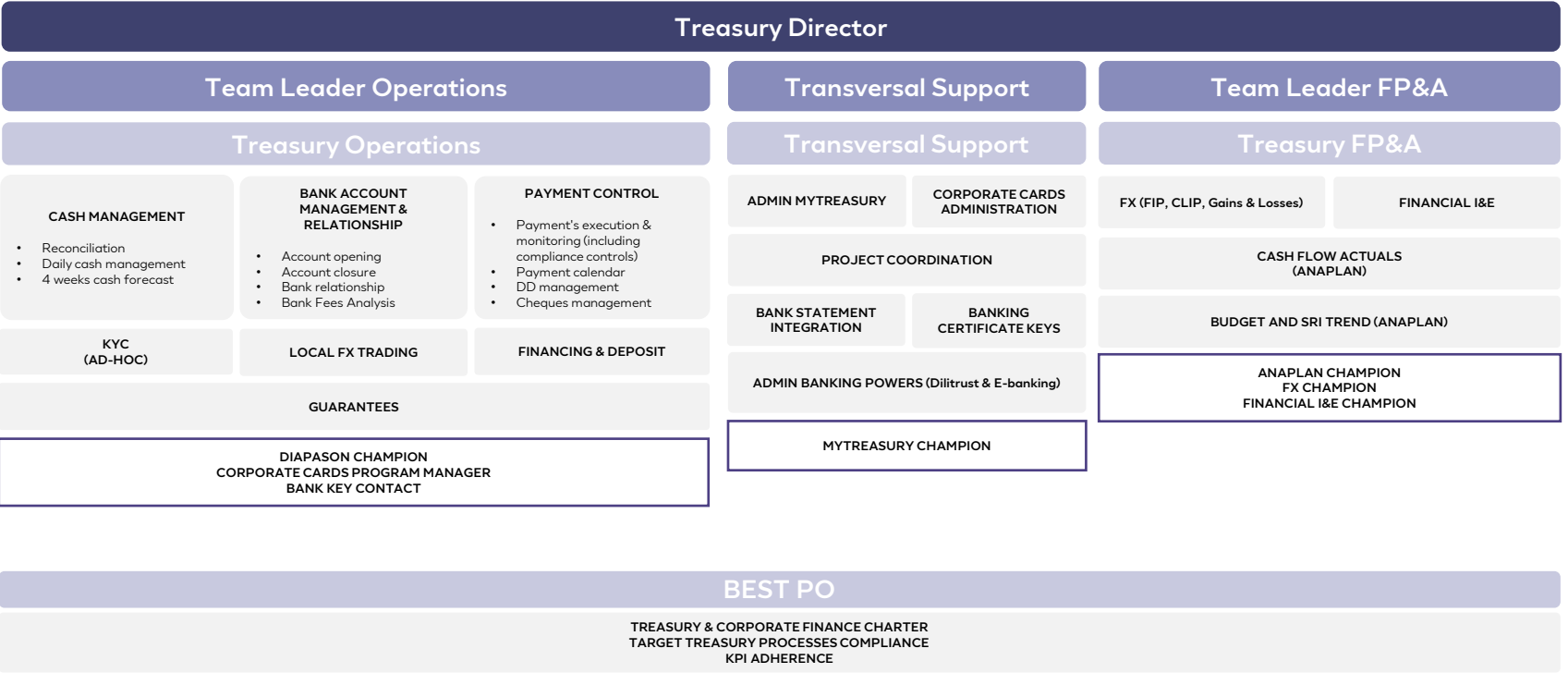
HOW TO ATTRIBUTE ROLES ?

- A role is a set of operational tasks, We consider that **1 role = 1 person**.
- Role attribution must respect segregation of duties.

→ *This organization must be implemented considering the organization & resources. It is the Team Manager responsibility to adapt and split the team depending on the organization.*

Information contained in this document does not imply that decisions have been made to take specific actions. Any decision/implementation actions will take place within the required social and legal processes.

*BRAZIL, RUSSIA



Information contained in this document does not imply that decisions have been made to take specific actions. Any decision/implementation actions will take place within the required social and legal processes.

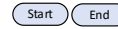
*BRAZIL, RUSSIA

LEGEND

Understanding of processes

Symbol

Start / End of process



Manual activity



Manual activity with application



Automatic activity with application



Decision



Document



Risk



Operational Control



Managerial Control



KPI



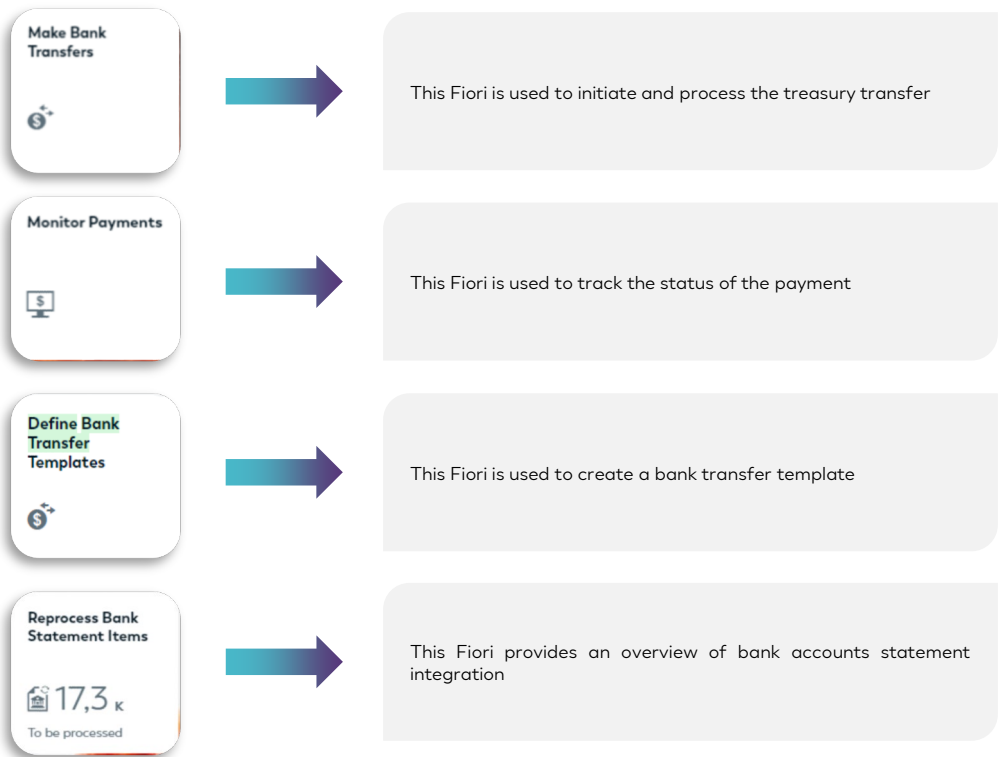
NEO Implementation



SHORT TERM CASH MANAGEMENT

SHORT TERM CASH MANAGEMENT DAILY CASH MANAGEMENT

WHAT'S NEW IN NEO ?





DAILY CASH MANAGEMENT NORMS

- ✓ All **bank accounts statements** must be **integrated daily** and controlled in Diapason.
- ✓ All flows of cash shall be **reconciled daily** in Diapason, and any anomaly shall be promptly addressed and documented

- ✓ **Daily cash position** shall be reported in Diapason before group cut-off

Any deviation between the daily cash position of the entity and the D-1 forecast per bank must be justified daily :

- ✓ **For Cash Pooled entities :**

- If greater than 4M EUR equivalent, the deviation must be explained to the Best Treasury Manager, the Zone Treasurer and the Group Cash Management team at T&CF level by email.

- ✓ **For Non-Cash Pooled entities :**

- If greater than 4M EUR equivalent, the deviation must be explained to the Best Treasury Manager and the Zone Treasurer by email.

Menu		
Back	<	
Home	>	
Cash Management	>	×
Financial trades	>	>
Risks and markets	>	
Reporting	>	
Configuration	>	
Administration	>	
Help	>	

Reporting		
Back	<	<
KPI	>	>
L'Oreal Reporting	>	>
Back-Office	>	>
Forex	>	>
	>	>

KPI		
Back	<	
KPI - Matching Statistics		
KPI - Accounts status review		
KPI - Users		
KPI - Forecasts vs. Actuals		
KPI - Unmatched Statement Monitoring		

Daily Cash Forecast Reporting :
Diapason > Reporting > KPI > Forecasts vs. Actuals NEW

SHORT TERM CASH MANAGEMENT

CUT-OFFS FOR CASHPOOLED & NON CASHPOOLED ENTITIES

For a value date D		Daily Cash Position Input in Diapason	Loans/Deposits input in MyTreasury	
			Cashpooled entities	Non Cashpooled Entities
China	CNY	D-2 10:00 am Paris time	D 11:30 am Paris time	D-2 10:00 am Paris time
SAPMENA & EE	AUD, AED, BGN, CZK, HKD, HUF ILS, JPY, NZD, SGD,, SLO, RON, SAR	D-1 10:00 am Paris time		
Switzerland	CHF	D 10:00 am Paris time		
CE & AMA	DKK, EUR, GBP, NOK, PLN, SEK, USD, CAD, MXN	D 11:00 am Paris time		



IF THE CUT-OFF DEADLINE CANNOT BE MET FOR TECHNICAL REASONS, THE TREASURY ANALYST MUST CONTACT THE TREASURY & CORPORATE FINANCE TEAM AT THE EARLIEST.

DAILY CASH MANAGEMENT

Lanes: Bank, T&CF, Zone Treasurer, Treasury Manager or Treasury Operations Leader, Treasury Operations

Process Flow:

- Bank:** Start → Bank accounts statements communication
- T&CF:** 1. MT940/942, CAMT053 & intragroup accounts statements daily control and integration (Diapason) ← Intragroup account statements (Diapason)
- Treasury Operations:** 2. Daily check the MT940/942, CAMT053 & intragroup accounts statement integration (Diapason) → 3. Control accounts integration (Decision: OK/ KO)
- Treasury Manager or Treasury Operations Leader:** 3. KO → Request MT940 & CAMT053 integration (My Services) → Close investigations with Bank and Inform Accounting team → Handling investigations with Bank → High level of investigations handling with Bank
- Treasury Operations:** 4. Daily treasury reconciliation (automatic & manual) (Diapason) ← 3. OK → 5. Daily short term forecasts input a preview/set bank to bank transfers (Diapason) → 6. Execute zero balancing (cash centralization) (Decision: Case 1/ Case 2)
- Treasury Operations:** 6. Case 1 → Bank to Bank transfers before cut off (Diapason) → 7. Request F111 (Bank to Bank transfers) to accounting before cut off (Diapason) → 7. Financings / Deposits needs (Decision: Cashpooled Entities / Not Cashpooled Entities)
- Treasury Operations:** 7. Cashpooled Entities → Set up internal deposits or financing → 8. Alert on exceptional amount (intraday limit) → 9. Follow intraday limits overtaking and inform bank → 10. Consolidate Group cash position (MyTreasury) → 11. Monitor Group cash position (Cashpooled Entities)
- Treasury Operations:** 7. Not Cashpooled Entities → Daily definition of the cash position before cut off (Diapason) → 12. Daily Cash position & analysis (Diapason) → 13. Daily Cash position transmission to Group (Diapason) → 14. Monitor Group cash position (Cashpooled Entities)

Ends: End (multiple locations)

Icons: Gears (1, 2, 3, 4, 5), NEO logo, Flag (8), Arrow (9), End (oval)

Labels: CM P1.1, CM P1.2, CM P1.3, Cashpooled Entities, Not Cashpooled Entities

SHORT TERM CASH MANAGEMENT

DAILY TREASURY MANAGEMENT

DESCRIPTION

The purpose of this process is to define the **Daily Cash Position** which is the position with outgoing payments and incoming collections forecast for the day.

- 1 Every morning, **T&CF** receives bank statements via MT940, MT942 or CAMT053 formats and integrates them automatically in Diapason. *(MT942 intraday statements are available on request to **T&CF** to help to perform daily cash forecasts. NB: to use carefully as these statements provide only a part of the forecasts).*
- 1 **T&CF** controls automatically the accuracy of the bank statements (opening balance vs D-1 closing balance, continuity of bank statement dates) and integrates automatically FINVAL intragroup account statements from MyTreasury in Diapason.
- 2 Every morning, the **Treasury Operations** controls the FINVAL account & bank statements integration:
 - If a bank statement is not received from the bank, the **Treasury Operations** contacts the bank to resend the bank statement file.
 - As soon as the bank confirms the bank statement is sent, the **Treasury Operations** asks for an integration request in My Services.
 - Each issue and resolution details shall be shared with the **C2A team**, as the daily bank statements are also integrated in SAP for bank reconciliation purpose.
 - If the request is not fulfilled after 1 day, the issue is shared with the **Treasury Operations Leader or Treasury Manager** and elevated to **Zone Treasury**, when necessary,
- 3 The **Treasury Operations** performs the daily reconciliation in Diapason between forecasted flows and actual flows from the bank statement. Depending on the cashflow and matching rules, the reconciliation is either automatic or manual. 
 - If there is an unreconciled outflow, the **Treasury Operations** investigates with **Accounting teams** to understand the gap. If no explanation is found, the **Treasury Operations** must contact the bank immediately as there is potential **Fraud Risk**.
 - The inflows are compared in global to forecasted receipts, the **Treasury Operations** investigates with the **Credit Team** to understand significant gap. If no explanation is found, the **Treasury Operations** must contact the bank immediately as there is potential **Fraud Risk**.
 - Without any answer from the bank within 1 day the Zone Treasurer must be alerted.
- 4 **Zone Treasurer** challenges the deviations between the actualized cash position, and the D-1 forecast greater than 5Meur equivalent and **T&CF** challenges the deviations greater than 10Meur equivalent
- 5 The **Treasury Operations** proceeds to daily short-term forecasts adjustments and defines a first state of cash position of the day per bank accounts.  **Treasury Operations** can manage daily liquidity and extract forecast from S4. 
- 6 The **Treasury Operations** executes treasury transfers to pool the bank accounts to the main bank account (= pivot bank account). This task is called zero balancing.
 - 1 For non-cash pooled accounts, the **Treasury Operations** executes zero balancing in three ways:
 - Treasury Transfers via Diapason → **recommended one**
 - F111 SAP request to C2A Team
 - With NEO, the **Treasury Operations** can initiate and process the treasury transfers by using a treasury transfer template predefined in the appropriate Fiori

SHORT TERM CASH MANAGEMENT

DAILY TREASURY MANAGEMENT

DESCRIPTION

- 7 For cash pooled entities, the **Treasury Operations** monitors daily financing & deposit needs (cf. [Internal financings & deposits](#)) and determines the daily cash position in Diapason before [Cut-Off](#).
- ! The definitive cash position is determined, to be analyzed. The Treasury Operations can also review the daily cash position in S4. 
- ! Process ends here for non-cash pooled entities, as they don't need to transfer their cash position to the **T&CF**.
- 8 For cash pooled entities, the **Treasury Operations** transfers the cash position to **T&CF** using the "Forecast cash pooling" tool in the Diapason menu.
- ! If an intraday limit with a bank is going to be exceeded, an email alert with justification is sent to **T&CF**, who will inform the bank and request an authorization of limit breach.
- 9 **T&CF** manages intraday limits and overdraft authorizations with banks, consolidates the cash position of all cash pooled entities in MyTreasury and monitors the group cash position.

KPI	NAME	DEFINITION
	Dormant accounts	Number of bank accounts that didn't receive a bank account statement in the last 30 days
	Monthly bank fees	Amount of bank fees reconciled in Diapason
	Average daily accuracy for collections	Average daily forecast accuracy on collections in local currency weighted by actuals converted in EUR (Target 90%)
	Average daily accuracy for payments	Average daily forecast accuracy on payments in local currency weighted by actuals converted in EUR (Target 95%)

SHORT TERM CASH MANAGEMENT DAILY TREASURY MANAGEMENT RISKS & CONTROLS

Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
CM P1.1	A Bank Statement is missing	CM P1.1	Ensure the completeness of bank account statements using the account review status report in Diapason	Automatic	Daily	Treasury Operations	CM.P1.1-1.1
		CM P1.1	Based on a sampling method, ensure on different days all bank statements have been integrated in Diapason. If a missing bank statement is identified, ensure an action has been put in place to solve the issue	Manual	Weekly	Treasury Operations Leader	CM.P1.1-2.1
CM P1.2	A flow of cash is not reconciled	CM P1.2	Ensure a justification has been identified for each unreconciled flows in Diapason	Manual	Daily	Treasury Operations	CM.P1.1-1.2
		CM P1.2	Control if all discrepancies are identified and investigated by the Team	Manual	Weekly	Treasury Operations Leader	CM.P1.1-2.2
CM P1.3	Significative deviation between the daily forecast and D-1 daily forecast	CM P1.3	Explain significative deviation between the entity's cash position per bank and the D-1 forecast of more than : • 5M€ equivalent to the Zone Treasurer • 10M€ equivalent to the Zone Treasurer and T&CF department	Manual	Daily	Treasury Operations	CM.P1.1-1.3
		CM P1.3	Based on a sampling method, review that all significative deviations greater than 5M€ equivalent between the entity's cash position per bank and the D-1 forecast have been justified.	Manual	Weekly	Treasury Operations Leader	CM.P1.1-2.3



RISKS



OPERATIONAL CONTROLS



MANAGERIAL CONTROLS



Controls are currently under review jointly with BEST ICM and will be updated for a next TTP release



4 WEEKS CASH FORECAST

Methodology :

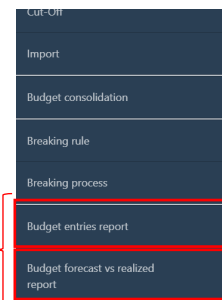
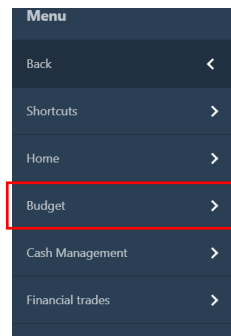
At the beginning of each month, BESTs must enter the forecasted figures for the **next 4 weeks in Diapason**. The forecast is performed **at entity level** and must include **all flows**: non group, interco, payroll, taxes, dividend, capital increase, acquisitions, etc. The forecasted amounts must **be summed for each week** and **positioned on Thursday of each week**, with a clear **split by nature** of IN and OUT flows.

Automatic data freeze:

- **On the 8th of each month at 11pm CET**: a batch freezes the data for the next 3 weeks → modification no longer possible
- **On the 28th of each month at 11pm CET**: a batch freezes the period until the 8th of the following month → modification no longer possible

Reporting

- At the beginning of each month, the Treasury Operations Analyst must extract the **Budget Entries report** for all entities within the BEST scope and share it with the Zone Treasurer and the BEST Director.
- Each Monday Treasury Operations team can extract the Accuracy KPI report to analyze the deviation between forecasts and actuals of the past week
- At anytime, BEST and Group Cash Management can extract the budget entries report to have an overview on the upcoming flows by entity, date and category



Cockpit Treasury Budget entries report

Mode: Budget Report By Version Input Save Execute

Value Date From: [] to: []

Only Active Parameter: ☒

Budget: [] []

Owner Entity: [] []

Bank: [] []

Branch: [] []

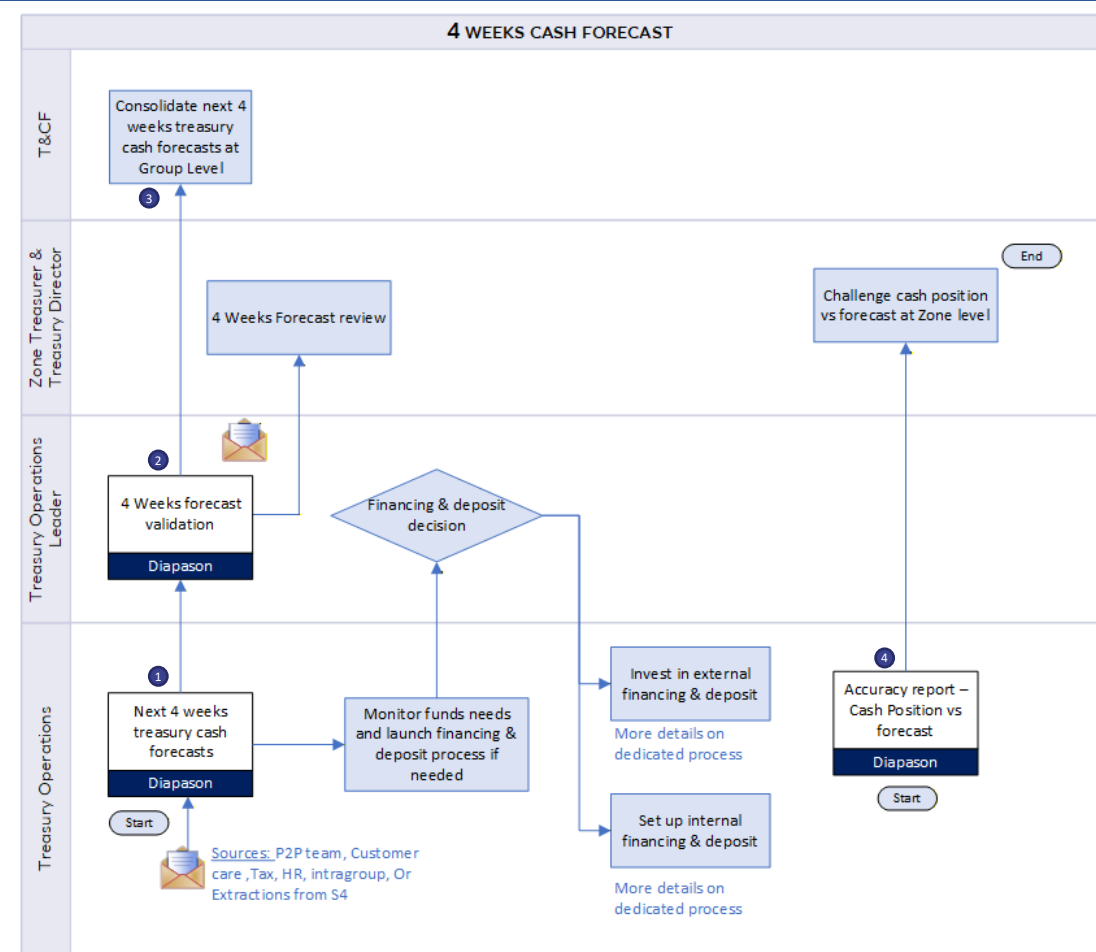
Bank Accounts: ☒ Internal Accounts ☐

Currency: [] []

Status: [] []

4 Weeks Cash Forecast Reporting :

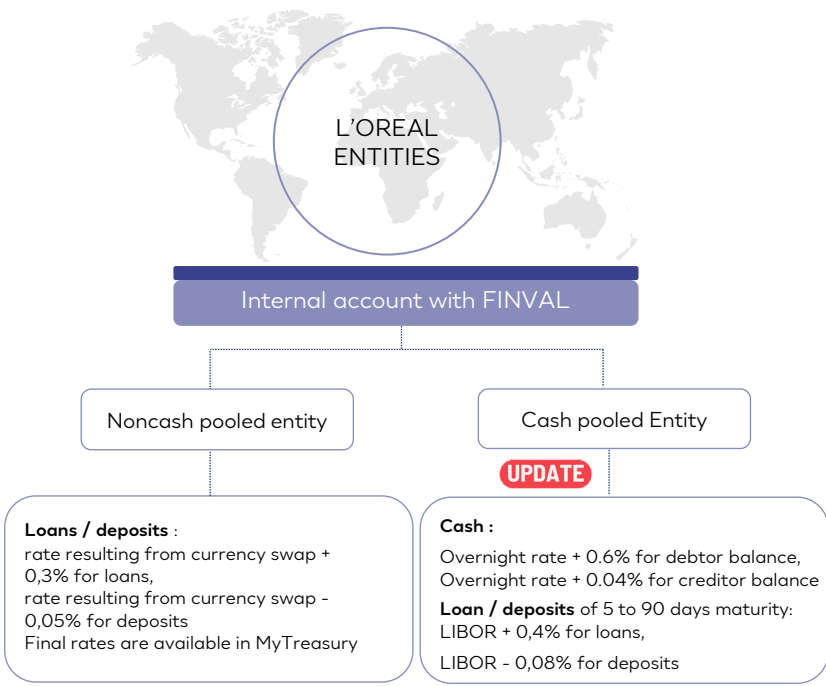
- **Diapason > Budget > Budget entities report**
- **Diapason > Budget > Budget forecast vs realized report**



DESCRIPTION
The 4 weeks cash forecast is mandatory for all entities. 1 The Treasury Operations adjusts in Diapason the next 4 weeks cash forecasts per entity with information from P2P, Credit Team, Controlling, Tax, HR, intercompany Simulated forecast can also be extracted from S4. The forecasted amounts must be summed for each week and positioned on Thursday of each week, with a clear split by nature of IN and OUT flows and must include all flows: non group, interco, dividend, capital increase, and acquisitions 2 The Treasury Operations Leader must validate and challenge the next 4 weeks cash forecasts for all entities within the BEST scope and share it with the Zone Treasurer & Treasury Director. 3 The Treasury Operations monitors funding needs and launches financing & deposit process after Treasury Operations Leader approval : - Internal financing/deposit need - cf. Internal financings & deposits - External financing/deposit need - cf. External financings & deposits 4 T&CF consolidates the 4 weeks cash forecasts at Group level and challenge the forecast at any time during the month. 4 At the end of the month, the Treasury Operations Leader must share the accuracy report and explain any significant deviations to the Zone Treasurer and the Treasury Director. The Zone Treasurer must define the materiality according to entity size.

INTERNAL FINANCINGS & DEPOSITS

APPLICABLE RATES ON FINVAL'S CASH MANAGEMENT ACTIVITIES



RULES

- According to the T&CF charter, internal financings and deposits (with FINVAL) are preferred to external financings and deposits.
- Internal financings / deposits shall be anticipated as much as possible and determined with the analysis of the cash flow forecasts
- Internal financings are drawn in local currency
- Internal deposits are invested in local currency
- Each financing request must be justifiable and explainable.
- Financings are capped at the amount needed to cover the entity's working capital requirement

*For more details, refer to the [T&CF Charter](#)
Financial investment management - Investment of cash surplus*



01

Finval accounts balances should be analyzed to identify short term financing needs or excess cash

- ✓ **80%** of the position need to be captured as loans/deposits
- ✓ **20%** buffer should be used for daily operations

02

Loans/deposits should be captured **following DPCI dates** as much as possible to simplify and optimize hedging process at Group level

03

Proposal : Maturity of loans/deposits will be set automatically to DPCI dates

04

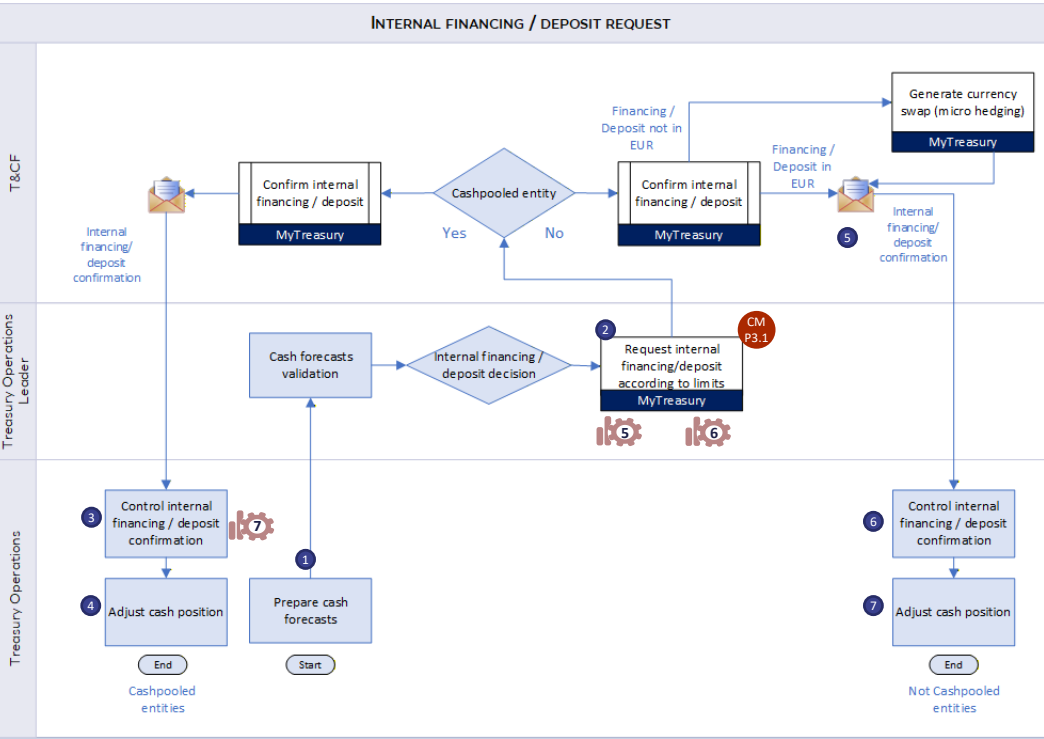
Cut off time : Loans and deposits should be captured **before D-2 10am CET**

05

Maturity dates need to be followed closely in order to identify any roll needs depending on forecasted balance, and the maturity date of the loan should reflect the cash excess/need projection

INTERNAL FINANCINGS & DEPOSITS

INTERNAL FINANCING / DEPOSIT REQUEST



KPI	NAME	DEFINITION
5	% Investment with FINVAL	Volume of cash invested in FINVAL versus external banks either in bank balances, term deposit or MM funds (Target 100%)
6	% Financing with FINVAL	Volume of debt held with FINVAL versus external banks either in bank balances or credit line (Target 100%)
7	Cashpooled accounts	% of bank accounts Cashpooled as registered in Diapason (Target 100%)

DESCRIPTION

- The Treasury Operations** analyses the latest Cash Forecast Flash/Budget and the latest 4 weeks cash forecasts to determine internal financing or deposit amount and duration, to be validated by **Treasury Operations Leader**.
- The Treasury Operations** schedules and inputs internal loan or deposit directly in MyTreasury, no later than D 11:30am (Paris Time), in accordance with limits set up in MyTreasury. The entry period must be between 5 business days and 3 months. The Treasury Operations receives an automatic reminder email the day before expiration of the loan or deposit.

Cashpooled entity

- The internal financing or deposit is confirmed automatically at T&CF level and a transaction advice is sent by email to the **Treasury Operations**.
- The **Treasury Operations** controls the characteristics of the internal financing or deposit allowed. For any error, the **Treasury Operations** emails to T&CF for resolution (error on amount, on maturity date, ...)
- The **Treasury Operations** adjusts entity cash position according to internal financing or deposit obtained.

Non-Cashpooled entity

- The internal financing or deposit is confirmed automatically at T&CF level ; However, the rate of the loan / deposit is not determined yet.
- In case of internal financing or deposit request not in EUROS, T&CF provides a specific Hedge rate for the operation.
- T&CF sends a transaction advice with the adjusted rate of the financing or deposit.
- The **Treasury Operations** controls the characteristics of the internal financing or deposit. For any error, the **Treasury Operations** emails to T&CF for resolution (error on amount, on maturity date, ...)
- The **Treasury Operations** adjusts entity cash position according to internal financing or deposit obtained.

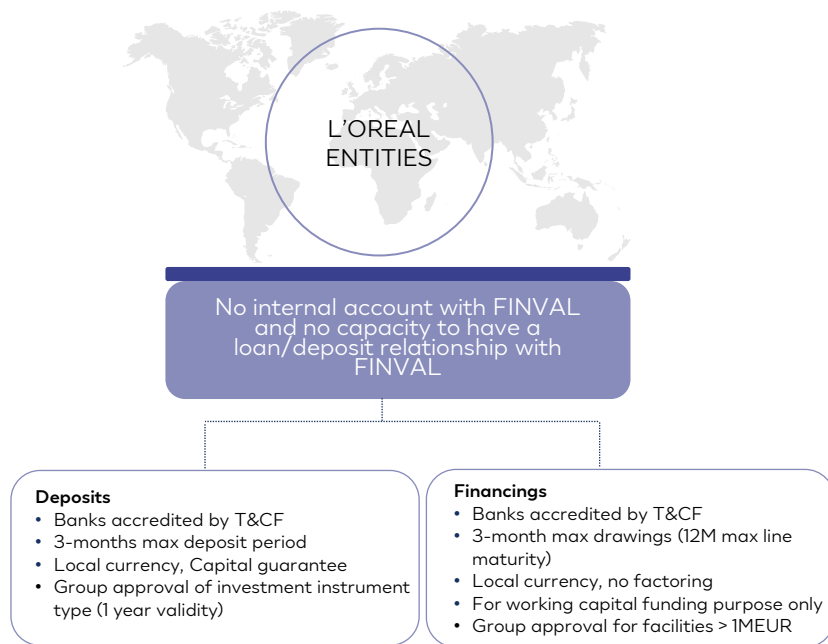
Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
 CM P3.1	Financing needs or deposit are not requested	 CM P3.1	Ensure that internal financings & deposits have been requested based on entity needs	Automatic	Each occurrence	Treasury Operations Leader	CM.P3.1-1.1
		 CM P3.1	Based on a sampling method, ensure deposits/loans requested with FINVAL were aligned with entity needs	Automatic	Monthly	Treasury Manager	CM.P3.1-2.1

 RISKS

 OPERATIONAL CONTROLS

 MANAGERIAL CONTROLS

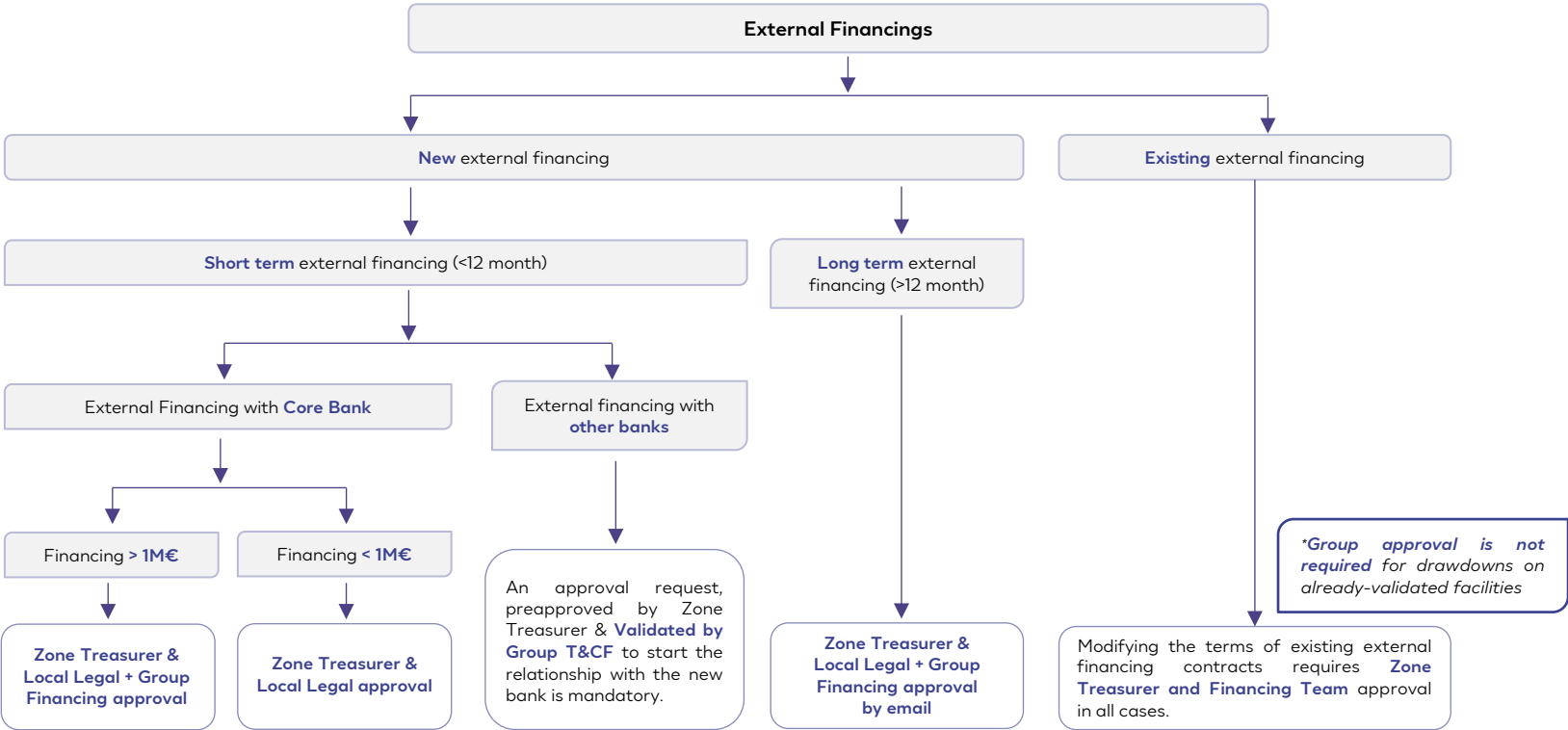
EXTERNAL FINANCINGS & DEPOSITS



RULES

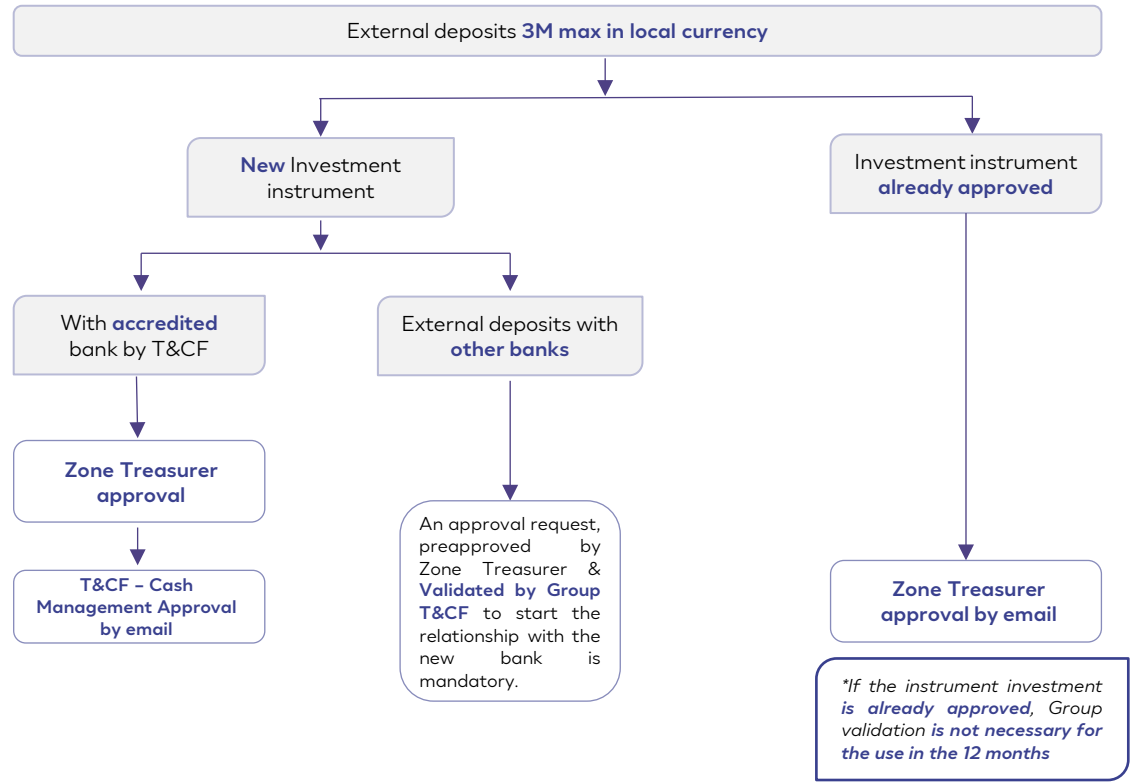
- External financings / deposits are allowed only with banks accredited by Treasury & Corporate Finance.
- External financings / deposits shall be contracted in local currency and for maturity not exceeding 3 months (other type of financings require derogation and T&CF approval)
- Bank overdrafts are not a sustainable way of financing and should not be used
- T&CF is solely responsible for selecting the instruments in which cash surpluses are to be invested
- Cash can only be invested on liquid and risk-free instruments

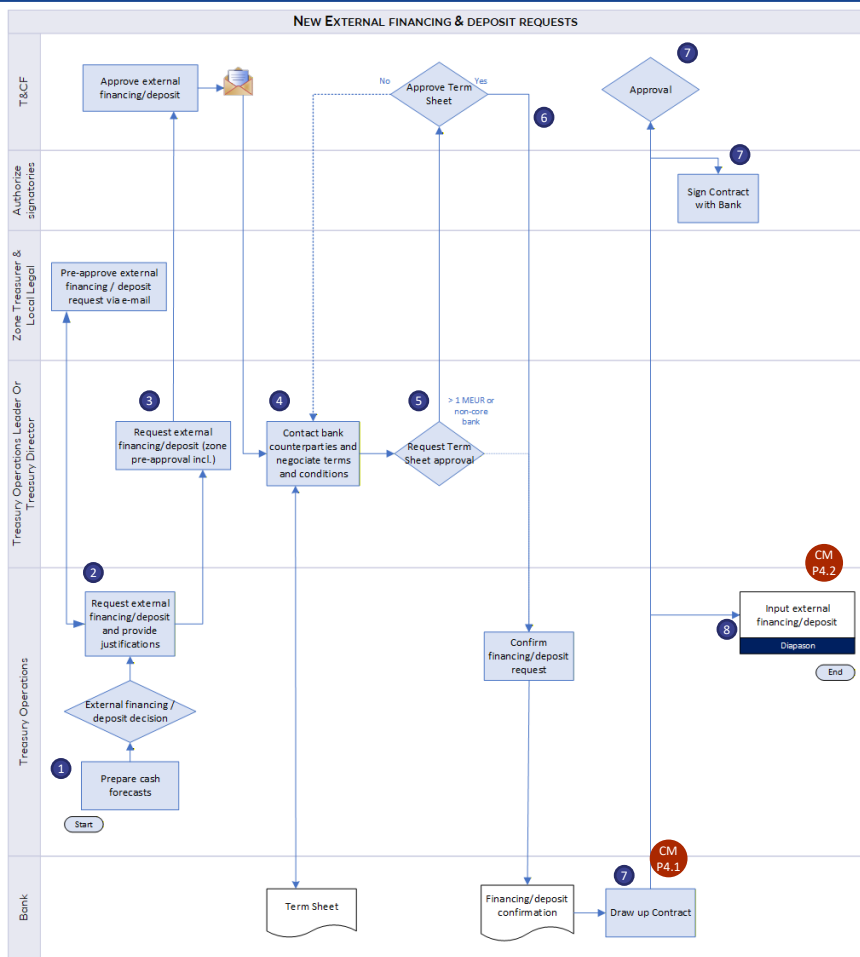
For more details, refer to the [T&CF Charter](#)



**It is mandatory to prepare a report containing the list of facilities by entity and to send it on a quarterly basis to the Group Financing team. ➔ Template*







DESCRIPTION

- 1 The **Treasury Operations** analyses the latest Cash Forecast Flash/Budget and the latest 4 weeks cash forecasts to determine the external financing or deposit amount and duration.
- 2 The **Treasury Operations** requests an external financing or deposit authorization to the **Zone Treasurer** copy the **Treasury Operations Leader or Treasury Manager** and provides the following documents to justify the request:
 - Actual cash position
 - 4 weeks cash forecast
 - Medium term cashflow statement Flash/Budget
- 3 The **Zone Treasurer** pre-approves via e-mail the request in accordance with **T&CF** policy.
- 4 The **Treasury Operations Leader or the Treasury Manager** requests **T&CF** approval, including Zone pre-approval e-mail, with all justifications attached to the request. **T&CF** controls and approves the request.
- 5 The **Treasury Operations Leader or the Treasury Manager** receives the approval and starts negotiating terms and conditions with the entity's bank counterparties, in accordance with Group policy.
- 6 The **Treasury Operations Leader or the Treasury Manager** selects the bank with the most favorable terms & conditions (summarized in a "term sheet").
- 7 For any financing over a 1MEUR equivalent, the **Treasury Operations Leader or the Treasury Director** must send the draft contract for review to **T&CF** and **Group legal department**, in addition to local legal review.
- 8 If Term Sheet is approved, the **Treasury Operations** confirms the financing or deposit to the Bank.
- 9 A contract is drawn up by the Bank approved by **T&CF** and signed by **authorized signatories** and the Bank.
- 10 The **Treasury Operations** inputs the operation in Diapason.

Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
CM P4.1	The external financings & deposits process is not respected	CM P4.1	Ensure entities have respected : - A documented competitive process to ensure the best possible pricing - Zone Treasurer validation with Actual cash position vs 4 weeks cash forecast - The Term Sheet is compliant with Group policy - T&CF validation for financing/deposits above 1M€ on noncore bank - Archiving the loan/deposit contract signed by the two counterparties	Manual	Each Occurrence	Treasury Operations Leader	CM.P4.1-1.1
		CM P4.1	On a sampling method, ensure financings & deposits process has been respected	Manual	Quarterly	Treasury Director	CM.P4.1-2.1
CM P4.2	The external financings & deposits entered in Diapason is incorrect or was not entered	CM P4.2	Ensure all external financings & deposits have been inputted in Diapason	Manual	Each Occurrence	Treasury Operations	CM.P4.1-1.2
		CM P4.2	Based on a sampling, ensure that all external financings & deposits have been inputted in Diapason	Manual	Bi Annual	Treasury Operations Leader	CM.P4.1-2.2



RISKS



OPERATIONAL CONTROLS



MANAGERIAL CONTROLS

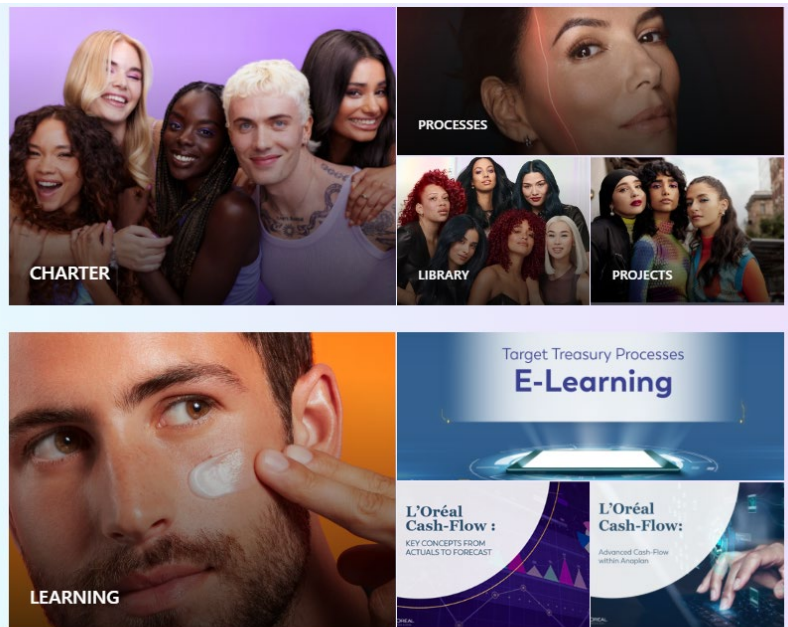
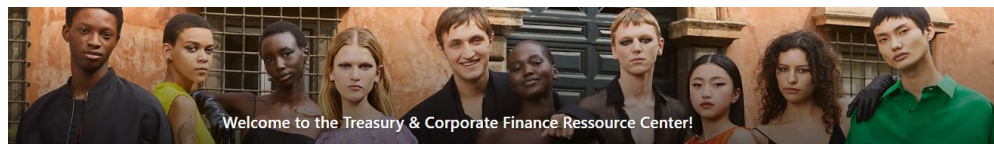


Controls are currently under review jointly with BEST ICM and will be updated for a next TTP release

WE ARE FINANCE & LEGAL

Support link : [WeAreFinance&Legal](#)

TREASURY & CORPORATE FINANCE RESSOURCE CENTER



"TREASURY & CORPORATE FINANCE PARTNERS WITH THE BUSINESS TO DELIVER SECURED VALUE CREATION"



L'ORÉAL